Internal financial review

HVAC manufacturer - estimated operating profile

Tulsa / 12 months / 2027-01 to 2027-12

PRICE / USD PER MMBtu

$3.0171

Partial subtotal
The amount includes known costs and target margin. Costs marked Pending still need an input.

PROPOSED BLOCKS / MMBtu

6,588.0

FIXED-BLOCK SUBTOTAL / USD

$19,876.64

01 / What this means

You buy fixed monthly blocks of gas. Usage above or below a block settles at that month's regional index. The subtotal is price times contracted blocks; it is not the full customer bill.

Modeled customer usage: 6,588.0 MMBtu. Market as of: 2026-10-29.

02 / How the price is built

Component	USD / MMBtu
Henry Hub + regional basis, weighted by monthly blocks	$2.8171
Procurement fuel adder	Pending
Supplier fee	Pending
Financing	Pending
Residual risk allowance	Pending
Credit allowance	Pending
Target margin before unmodeled costs	$0.2000

Benchmark annual gas use: 6,100 MMBtu. Customer meter records have not been supplied.

New offer: 20.0% HDD versus history reprices quantity and monthly cost weights. Reference HDD: 3,172.

Protection and next steps

03 / Monthly hedge check

Base-commodity Monte Carlo	Result
Matched monthly P95 loss / USD	$0.00
Without hedges: P95 shortfall / USD	$6,829.85
P95 component premium / USD per MMBtu	$0.0000

100,000 seeded draws from 9 paired annual source years. P95 component premium = P95 loss / contracted blocks.

Only modeled commodity exposure cancels when customer blocks, both price components and monthly indexed deviations match. The result measures change in gross contribution before unmodeled costs. It does not price remaining supplier risk.

Outside this result: daily/monthly mismatch, fuel, execution, fees, financing and credit. Full supplier risk remains unpriced unless an allowance is supplied.

04 / Credit ratios and payment protection

Current ratio	Debt / EBITDA	EBIT / interest	Score
Pending	Pending	Pending	Pending

Payment protection required: agree collateral or prepayment. Review missing or invalid inputs.

Analyst-chosen heuristic: 0-2 points per ratio. Strong means current ratio at least 1.5, debt/EBITDA at most 2 and EBIT/interest at least 4. Only 6/6 with no review flags passes the ratio screen. This does not estimate default probability, a default premium or a collateral amount.

05 / Before you use this estimate

1. Confirm market prices. Confirm every monthly price and delivery period. Confirm the matching delivery route and regional index, and the market valuation date.

2. Confirm supplier costs. Fuel percentage / convention; Supplier fee; Financing; Residual risk allowance; Credit allowance. Pending means unknown, not zero.

3. Confirm payment terms. Complete missing ratios and agree collateral or prepayment.

4. Confirm demand and weather. Check annual use and the selected weather assumption. Recheck execution and contract terms before commitment.

06 / Glossary

MMBtu: a unit of gas energy. HDD: heating degree days, a measure of cold weather. Basis: the regional price difference from Henry Hub. P95: the 95th percentile of modeled loss, not a guaranteed maximum.

The input sequence: 1 Customer, city and term / 2 Gas use and weather / 3 Market prices / 4 Supplier costs and margin / 5 Credit / 6 Review and PDF.

Financial plan

Full-term budget	USD
Customer revenue	Pending
Budgeted supplier costs	Pending
Budgeted contribution	Pending
Peak operating funding	Pending
Funding with selected payment delay	Pending

Break-even block price: Pending / MMBtu. Customer payment: Pending; supplier payment: Pending after month-end invoice. Payment-delay stress: 0 days.

These are budgeted expenses and reserves, not net income. Cash starts at zero and follows the entered payment dates. Daily hedge collateral and future price-driven cash settlements are outside this simple operating cash plan.

Budget by quarter

Period	Revenue / USD	Costs / USD	Contribution / USD
2027 Q1	Pending	Pending	Pending
2027 Q2	Pending	Pending	Pending
2027 Q3	Pending	Pending	Pending
2027 Q4	Pending	Pending	Pending

Payment protection / estimated coverage

Peak billed receivables	Total exposure	Unsecured limit used	Protection gap
Pending	Pending	$0.00	Pending

Exposure uses the base payment terms and adds billed receivables to the entered additional unbilled/close-out exposure. The protection gap subtracts the permitted unsecured limit. It is an estimate for review, not collateral approval; a strong ratio score does not create an unlimited credit line.

Observed: NOAA weather and historical Henry Hub spot records. Estimated demand uses 60% steady / 40% weather-sensitive gas. The 6,100 MMBtu benchmark rounds a median of 14 assessment records, not a representative regional average. The bundled Tulsa basis is a route proxy with a corroborated date, not a date printed in its monthly file. Confirm entered curves separately.

Commercial checks: Cost inputs: Pending; Market date: recorded; Delivery/index: Pending; Quote validity: Pending; Payment timing: Pending; Credit review: Pending.

Demand validation: Pending. Match monthly customer bills and billing dates to weather before claiming forecast accuracy. Cost completeness alone does not make a firm quote.

Monthly detail

Fixed monthly blocks. Customer-block hedges only: each price component covers the same block. Same gas volume; do not add the legs. Fuel execution quantities: Pending.

Fuel percentage / convention: Pending. Any additional fuel execution quantity is unknown.

Month	Customer block MMBtu	Henry Hub block MMBtu	Regional basis block MMBtu	HH reference USD/MMBtu	Basis reference USD/MMBtu
2027-01	1,057.2	1,057.2	1,057.2	$3.3920	$0.2500
2027-02	870.4	870.4	870.4	$3.0610	$0.2700
2027-03	621.1	621.1	621.1	$2.4460	$-0.3850
2027-04	463.5	463.5	463.5	$2.3940	$-0.5050
2027-05	338.8	338.8	338.8	$2.4520	$-0.5550
2027-06	305.1	305.1	305.1	$2.6140	$-0.5475
2027-07	305.0	305.0	305.0	$2.8570	$-0.4550
2027-08	305.0	305.0	305.0	$2.9420	$-0.5025
2027-09	307.3	307.3	307.3	$2.9290	$-0.5575
2027-10	444.2	444.2	444.2	$3.0130	$-0.6650
2027-11	667.6	667.6	667.6	$3.3420	$-0.5625
2027-12	902.7	902.7	902.7	$3.9720	$-0.3425

Worked example / 2027-01

Block: 1,057.16 MMBtu. Entered reference index: $3.6420 per MMBtu (Henry Hub + basis).

Reference cost: $3,850.18 of base commodity, before fuel, fees and margin.

Modeled usage: 1,057.16 MMBtu. Deviation: 0.00 MMBtu. Value at the reference index: $0.00.

This is not a forecast of the settlement index.

Figures are rounded for display; calculations use full precision.

Monthly customer deviations settle at the matching regional index. Actual execution, instrument availability and lot sizes require confirmation; this table is not an exchange order.

Method and sources

NOAA historical HDD and EIA Henry Hub spot-price histories are paired by whole year and centered on the entered curve; regional basis is fixed. Two-year terms independently resample annual blocks. These histories are not forward quotes. Only Tulsa 2027 has a bundled complete curve; other cities and 2028 require separate monthly prices.

Identifiers and freeform notes are omitted. No customer forecasting accuracy is asserted. Estimated operating profile. Educational estimate only. No trade is placed.